

Jahangirnagar University

Department of IIT, Course # IIT 3109 (Basic-Economics)

1st Tutorial Examination — 2024, 50 Batch

Marks: 25 | Time: 50 minutes | Chapters: 1, 2 & 4

Section A: Long Answer Questions (Answer ANY TWO)

2 x 9 = 18 Marks

Answer any TWO of the following questions. Each question carries 9 marks.

1. What is the Production Possibilities Frontier (PPF)? Draw a clearly labelled diagram of the PPF. On your diagram, show and explain an efficient point, an inefficient point, and an unattainable point. Why does the PPF have a bowed-out (concave) shape? **[9 marks]**
2. What is the meaning of demand in economics? State and explain the Law of Demand. Using a diagram, prove that the demand curve slopes downward. Using separate diagrams, explain the difference between a change in demand (shift of the demand curve) and a change in quantity demanded (movement along the demand curve). **[9 marks]**
3. What is the Law of Supply? Draw the supply curve and explain why it slopes upward. List and explain FOUR factors (determinants) that cause the supply curve to shift. Distinguish clearly between a movement along the supply curve and a shift of the supply curve. **[9 marks]**

Section B: Multiple Choice Questions (Answer ALL)

0.5 x 14 = 7
Marks

Each MCQ carries 0.5 marks. Circle or underline the letter of the correct answer.

1. Society has limited resources and therefore cannot produce all the goods and services people wish to have. This situation is called:
A. Scarcity B. Resources C. Trade-off D. Price
2. When the benefits of using resources are distributed fairly among all members of society, it is called:
A. Efficiency B. Equity C. Scarcity D. Resources
3. Whatever must be given up to obtain some item is called:
A. Fixed cost B. Sunk cost C. Opportunity cost D. Variable cost
4. Which of the following factors influences (shifts) the demand curve?
A. Income B. Resources C. Trade-off D. Input prices
5. Which of the following factors influences (shifts) the supply curve?
A. Income B. Equity C. Tastes D. Technology
6. If income increases and the consumption of a good also increases, we call this a:
A. Shift in demand B. Change in quantity demanded C. Inferior good D. Change in supply
7. If the raw material price decreases, what happens to supply?

A. Demand increases B. Supply decreases C. Supply increases D. No change

8. If the price of a good is fixed but consumer tastes for that good increase, what will happen?

A. Price fixed and supply increases B. Price decreases and demand increases C. Price fixed and demand fixed D. Price fixed and demand increases

9. Which of the following is a determinant of demand?

A. Weather condition B. Supply schedule C. Future expected prices D. Resource price

10. Which letter is used to express income in economics?

A. C B. I C. Y D. S

11. If the price of a commodity increases and the demand for another good also increases, we call the second good a:

A. Substitute good B. Complementary good C. Cross good D. Luxury good

12. If the price of a commodity changes and the demand for the same good also changes in the same direction, we call it a:

A. Substitute good B. Complementary good C. Cross good D. Luxury good

13. Production is said to be efficient when the production point is:

A. On the PPF B. Under the PPF C. Above the PPF D. None of the above

14. The three basic questions of microeconomics are: (i) What to produce? (ii) How to produce? (iii)

_____.
A. When to produce? B. Who will consume / For whom to produce? C. Where to produce?
D. Why to produce?

End of 1st Tutorial Examination

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2nd Tutorial / Midterm Examination — 2024, 50 Batch

Marks: 25 | Time: 1 hour 20 minutes | Chapters: 1, 2 & 4

Answer any ONE (01) of the following questions. All sub-parts of the chosen question must be answered.

Question 1 (Answer any ONE sub-group)

25 Marks

Option A

a) Given the demand equation $Q_d = 40 - 4P$ and the supply equation $Q_s = 20 + 2P$, where Q_d is the quantity demanded, Q_s is the quantity supplied, and P is the price: Draw the demand and supply curves correctly and show the market equilibrium point. Calculate the equilibrium price and quantity.

[8]

b) What will happen on the demand curve if: (i) Consumer income increases. (ii) Number of family members decreases. Explain with diagrams. [6]

c) What will happen on the supply curve if: (i) The price of raw materials increases. (ii) A technological innovation occurs in the economy. Explain with diagrams. [6]

d) Define the price elasticity of demand with the formula. Draw the curves for: perfectly elastic demand, perfectly inelastic demand, relatively elastic demand, relatively inelastic demand, and unitary elastic demand. [5]

Option B

a) Define market equilibrium. A hypothetical market is currently in equilibrium. If the market price rises above the equilibrium price, what will happen? If the market price falls below the equilibrium price, what will happen? Explain shortage and surplus with a diagram. [10]

b) Using a supply and demand diagram, explain what will happen in the economy if: (i) Consumer income decreases and raw material prices increase. (ii) The number of sellers increases and consumer income increases. [8]

c) The computer-related commodity price is Tk. 20 units and quantity is 50 units. When the price increases to Tk. 10 units, the quantity becomes 65 units. Draw the demand curve and calculate the price elasticity of demand. [7]

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3rd Tutorial Examination — 2024, 50 Batch

Marks: 25 | Time: 55 minutes | Chapters: 1, 2 & 4

Answer any ONE (01) of the following two questions. All sub-parts must be answered.

Question 1

25 Marks

a) Draw and briefly explain the Circular-Flow Diagram. Identify the parts of the model that correspond to the flow of goods and services and the flow of taka for each of the following activities: (i) Rahi pays a shopkeeper Tk. 110 for a quart of milk. (ii) Bintu earns Tk. 100 per hour working at a fast-food restaurant. (iii) Rimu spends Tk. 500 to see a drama at the theatre house in Green Road. (iv) Arif earns Tk. 10,000 from his 10 percent ownership of Acme Industrial. **[12]**

b) Why does the Aggregate Demand (AD) curve slope downward? Explain any one reason clearly. **[5]**

c) Explain with appropriate figures what happens to the price level and output level through the Aggregate Demand (AD) curve when: (i) Investment expenditures decrease. (ii) Government expenditures increase. **[8]**

Question 2

25 Marks

a) What are the differences between the GDP Deflator and the Consumer Price Index (CPI)? Explain clearly. **[6]**

b) The following data are given for three goods produced in the economy. Using 2015 as the base year: (i) Compute nominal GDP, real GDP, GDP Deflator, and economic growth rate for each year. (ii) Explain the economic meaning of the results obtained. **[12]**

Year	Price of Rice (Tk./kg)	Qty Rice (kg)	Price of Cloth (Tk./yard)	Qty Cloth (yard)	Price of Flour (Tk./kg)	Qty Flour (kg)
2015	5	100	10	250	12	150
2016	10	200	20	300	15	180
2017	20	300	25	350	22	250

c) Prove that GDP measured by the income approach is equal to GDP measured by the expenditure approach. Support your answer with a diagram. **[7]**

End of 3rd Tutorial Examination